

Business Ethics and Corporate Governance

Week 6: Introducing Corporate Governance

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Part 1

Guidance on Assessment 1B - Presentation



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Guidance for presentation

EMBARGOED TO BE SHOWN IN CLASS



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Definition of Corporate Governance

Corporate governance is defined the way in which a business is directed and controlled by its management. When an organisation has a strong system of corporate governance, it provides more credibility to the business financial statements. This is because it shows the commitment to strong internal control procedures (Gray at al, 2024).



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Bridging Ethics, Corporate Governance and Audit & Assurance

This session bridges what you have learnt from Business Ethics, introduces issues of Corporate Governance and prepares you for Audit and Assurance.

Case Study: Big 4 and the Wirecard scandal.



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OpenAI (2026a)



OpenAI (2026b)

Part 1 of the Documentary

1. The documentary describes auditors as "the watchdogs of capitalism." What does this phrase imply about the relationship between auditing and corporate governance? Who do auditors ultimately serve: the company, the shareholders, or the public?
2. Statutory audits were introduced in Germany in 1931 following the Great Depression. What does this historical origin tell us about why external oversight mechanisms exist? Can you draw parallels to other governance reforms introduced after market failures?
3. EY audited Wirecard for ten years without detecting fraud. The Enron auditor (Arthur Andersen) was dissolved. Lehman Brothers' auditors were not. What does the inconsistency in consequences tell us about accountability structures in the auditing profession?
4. The documentary notes that auditors cannot examine a company in its entirety and they choose areas of "highest risk." How does this sampling-based approach create gaps in governance oversight? Who decides what counts as high risk?



Part 2 of the Documentary

1. The film argues that because companies hire and pay their own auditors, independence is inherently compromised. This is sometimes called the "client-pays" problem. What governance mechanisms currently exist to counter this, and are they sufficient?
2. Auditing now accounts for roughly one-third of the Big Four's revenue, with consultancy making up the remaining two-thirds. How does this revenue shift affect the power dynamic between auditor and client? Does it change whose interests the firm is most incentivised to serve?
3. Maroo Bottale, a former PwC auditor, says his performance ratings dropped after he raised concerns internally, and he was eventually fired. What does this case reveal about the internal governance and whistleblowing culture of the Big Four themselves?
4. Antoine Deltour exposed how PwC helped companies reduce their effective tax rate to under 1% through Luxembourg rulings; legally, but arguably against the spirit of tax law. Where is the line between legal tax planning and a breach of corporate responsibility? How does this complicate the Big Four's role as governance actors?



Part 3 of the Documentary

1. In 2019, EY's own internal notes recorded "doubts about the management's integrity" at Wirecard. Yet they still issued an unmodified opinion that year. How do you account for this? Is it a failure of individual professional judgement, institutional culture, or systemic design?
2. The Wambach Report found that EY accepted verbal assurances from Wirecard's management board in lieu of independent verification of €2.7 billion in claimed cash. What does "professional scepticism" mean in practice, and what structural conditions make it difficult to maintain?
3. Over half of the employees at APAS. Germany's audit watchdog previously worked for one of the Big Four. The documentary suggests this creates a revolving door that makes the Big Four "essentially untouchable." How does this relate to broader debates about regulatory capture in corporate governance?
4. Having watched the full documentary: in your view, is the fundamental problem with the Big Four one of individual failure, institutional culture, or systemic design? What single reform — if you could implement just one. Would do the most to address the governance failures shown?



References

Gray, I., Manson, S., Crawford, L., Bradbury, L. and Currie, L. (2024) The Audit Process. 8th edn. Andover: Cengage Learning.

OpenAI (2026a) An image depicting intimidation behaviour between two corporate professionals. Generated using ChatGPT 5.4.

OpenAI (2026b) An image depicting Wirecard's head office in Germany. Generated using ChatGPT 5.4.

